

Using the Apex metrics you provided—**\$12M revenue, 45 stores, margins down 15% from inventory carrying costs, 25% lower foot traffic, 1.2% e-commerce conversion, 82% cart abandonment, and overstocked warehouses**—here is a parallel strategic assessment.

Strategic branch comparison

Criterion	Branch A: E-Commerce & Logistics Overhaul	Branch B: Footprint Downsizing	Branch C: Hybrid B2B Licensing
Core move	Fix checkout, automate inventory, move shipping to 3PL	Close 15 lowest-performing stores and consolidate inventory	Franchise/license stores and shift corporate focus toward online wholesale
Margin impact	High	High	High
Why	Directly attacks 82% abandonment, excess inventory and fulfillment costs	Removes store-level fixed costs and releases inventory/capital	Converts some operating costs to franchisee/licensee economics and creates potentially higher-margin wholesale revenue
CapEx required	Medium	Medium	Low–Medium
Main investment	E-commerce/checkout, inventory integration, systems/process redesign	Closure costs, lease exits, relocation/consolidation, inventory movement	Licensing/franchise infrastructure, partner acquisition, wholesale platform
Execution risk	Medium	Medium–High	High
Primary risk	Technology/integration fails to improve conversion or inventory accuracy	Lost customers, lease liabilities, employee disruption and brand/access reduction	Quality/control issues, partner recruitment, channel conflict and uncertain wholesale demand
Time to impact	Medium	Relatively fast	Slow–Medium

**Strategic
reversibilit
y**

Relatively high

Low

Medium

Branch A — E-Commerce & Logistics Overhaul

This is the most directly connected to the quantified operational problems.

- **82% cart abandonment** creates a substantial conversion opportunity.
- **1.2% conversion** indicates the digital channel has considerable room for improvement.
- Automated inventory can reduce the **inventory carrying-cost problem** while improving stock visibility across the 45-store network.
- A 3PL can shift fulfillment from an internally managed cost structure toward a more variable cost model.

Estimated margin impact: High.

The combination of better conversion, lower fulfillment friction, and reduced excess inventory could improve both revenue productivity and gross/operating margins.

CapEx: Medium.

The company would need technology integration and process redesign, but it avoids the major physical restructuring required by Branch B.

Execution risk: Medium.

The principal challenge is integrating e-commerce, store inventory and 3PL operations without disrupting customer service.

Score: 8.5/10

Branch B — Retail Footprint Downsizing

Closing **15 of 45 stores—one-third of the physical footprint—is a major restructuring move.**

Potential benefits:

- Lower rent and store operating expenses.
- Reduced inventory requirements at underperforming locations.
- Inventory can be consolidated into fewer locations.
- Capital tied up in weak stores can potentially be redeployed.

However, the economics depend heavily on lease obligations and closure costs. There is also a risk that some customers lost from closed stores do not migrate online or to remaining locations.

Estimated margin impact: High.

If the 15 stores are genuinely structurally unprofitable, eliminating their fixed costs can materially improve margins.

CapEx: Medium.

Although this isn't conventional growth CapEx, closure costs, lease termination costs, inventory transfers, severance and store consolidation can require substantial cash.

Execution risk: Medium–High.

The scale of the footprint reduction makes this harder to execute cleanly than Branch A.

Score: 7.5/10

Branch C — Hybrid B2B Licensing

This is the most significant business-model transformation.

Potential benefits include:

- Lower corporate exposure to physical-store operating costs.
- Franchise/license partners provide capital for expansion.
- Corporate resources can shift toward online wholesale.
- Licensing can potentially generate recurring royalty economics.

But Apex would be moving into a model for which the available information gives us **less evidence of existing capability or demand**. Building a franchise/license network and a wholesale business simultaneously creates substantial execution complexity.

There is also a brand-control risk: independent operators can affect customer experience and brand consistency.

Estimated margin impact: High.

The potential long-term margin structure is attractive because the corporate entity can reduce direct operating costs.

CapEx: Low–Medium.

Compared with opening/operating stores itself, the capital requirement could be lower, although building the licensing and wholesale infrastructure still requires investment.

Execution risk: High.

This involves changing both the distribution model and the company's primary commercial focus.

Score: 6.5/10

Decision matrix

Branch	Margin Impact	CapEx	Execution Risk	Overall Score
A — E-Commerce & Logistics	High	Medium	Medium	8.5/10
B — Footprint Downsizing	High	Medium	Medium–High	7.5/10
C — Hybrid B2B Licensing	High	Low–Medium	High	6.5/10

Recommended candidate: Branch A

Based strictly on the supplied operating evidence, **Branch A has the strongest strategic fit** because it addresses several identified problems simultaneously:

82% cart abandonment → checkout optimization

1.2% conversion → e-commerce improvement

Overstocked warehouses → automated inventory

Inventory carrying-cost pressure → better inventory management

Fulfillment efficiency → 3PL

It also preserves the existing 45-store network while creating a path to improve the digital channel, rather than immediately eliminating physical capacity.

Suggested sequencing

Rather than treating the branches as mutually exclusive, Apex could use **A as the initial transformation**, while using its results to inform B and C:

Phase 1: Branch A — fix digital conversion + inventory + fulfillment

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Phase 2: Identify stores that remain structurally underperforming

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Phase 3: Consider targeted elements of Branch B

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Phase 4: Pilot selected B2B/franchise/licensing opportunities from Branch C

This reduces the risk of making an irreversible footprint decision before Apex has addressed the obvious digital and inventory bottlenecks.